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(iii) Nominal account

'Debit all expenses and losses and Credit all incomes and gains'. For nominal accounts, the rule is debit all expenses and losses and credit all incomes and gains.

Example	:	Paid rent of ` 5,000 in cash
Accounts affected	:	Rent account and cash account
Nature of accounts	:	Rent is a nominal account and cash account is a real account
Rule	:	Debit all the expenses and losses and credit all the incomes and gains
Applying the rule	:	Rent is an expense and cash goes out
Debit		Rent account
Credit		Cash account

3.8.6 Analysis of transactions

Example 1

Transaction: Somu commenced printing business with cash ` 50,000.

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Somu commenced business with cash ` 50,000	Cash A/c Somu's capital A/c	Real A/c Personal A/c	Cash comes in Somu is the giver	Debit Credit

Journal entry

Date	Particulars	L.F.	Debit `	Credit `
	Cash A/c Dr. To Somu's capital A/c (Somu commenced business with capital)		50,000	 50,000

Example 2

Transaction: Bought goods for cash ` 4,000

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Bought goods for cash ` 4,000	Purchases A/c Cash A/c	Nominal A/c Real A/c	Expenses made Cash goes out	Debit Credit